

Problem Statement:

Many students and young professionals receive a fixed monthly income or allowance but struggle to manage their money effectively. They often do not track their daily expenses, overspend on unnecessary items, and find it difficult to determine how much they should save each month. Existing finance apps may show expenses but often do not provide **personalized and easy-to-understand financial advice**.

The **Personal Finance Advisor Bot** aims to solve this problem by allowing users to enter their **income, expenses, spending categories, and savings goals**. The bot analyzes this information using AI and provides personalized **budget plans, spending analysis, saving suggestions, and monthly financial reports**.

Real-life example

Suppose a student receives **₹20,000 per month**.

Their expenses are:

- Food: ₹5,000
- Travel: ₹3,000
- Shopping: ₹4,000
- Entertainment: ₹2,000
- Other expenses: ₹3,000

The student saves only **₹3,000** but doesn't know where they are overspending.

The bot can analyze the data and tell them:

"Your shopping and entertainment expenses are relatively high. Reducing these expenses by ₹2,000 per month could increase your monthly savings from ₹3,000 to ₹5,000."

For your **Personal Finance Advisor Bot** there are 4 main outputs:

1. Budget Plans

The bot helps the user decide how to divide their income.

Example:

- Monthly income: ₹30,000
- Food: ₹5,000
- Rent: ₹8,000
- Transport: ₹3,000
- Savings: ₹7,000
- Other expenses: ₹7,000

The bot can suggest a suitable budget based on the user's income and expenses.

2. Spending Analysis

The bot looks at the user's expenses and identifies where money is being spent.

Example:

Food: ₹6,000

Shopping: ₹5,000

Transport: ₹2,000

Entertainment: ₹3,000

The bot might say:

"Your shopping expenses are relatively high. You could reduce them by ₹2,000 and increase your savings."

3. Saving Suggestions

The bot gives suggestions for saving money.

Example:

"You spend ₹4,000 per month on entertainment. Reducing this to ₹2,500 could help you save an additional ₹1,500 per month."

4. Monthly Reports

At the end of the month, the bot summarizes the user's financial activity.

For example:

Monthly Finance Report

- Income: ₹30,000
- Total expenses: ₹22,000
- Savings: ₹8,000
- Highest expense: Food
- Suggested savings next month: ₹10,000

5. Investments Advisor Module

User enters:

- Monthly income
- Monthly expenses
- Existing savings
- Investment amount
- Goal
- Time period
- Risk level: Low / Medium / High

Bot provides:

- Suitable categories to research

- Risk level
- Expected return range *when appropriate, without guarantees*
- Lock-in/liquidity information
- Important risks
- Diversification suggestions
- Warning against scams/unregistered products
- Suggestion to consult a **SEBI-registered Investment Adviser** for personalized securities advice.

7. Debt / Loan Planner

This module helps users **manage loans and debt**.

The user enters:

- Loan amount
- Interest rate
- Loan duration
- Monthly EMI
- Existing loans

The bot can calculate and explain:

- Monthly EMI
- Total interest to be paid
- Total repayment amount
- How much is still remaining
- Whether the user's current EMI is affordable
- Suggestions for reducing debt

Example:

User:

I have a ₹2,00,000 loan at 10% interest for 3 years.

Bot:

Your approximate EMI is ₹6,453/month.

You will repay approximately ₹2.32 lakh in total, including interest.

It could also say:

"Your EMI is around 32% of your monthly income. Consider maintaining enough money for essential expenses before taking additional debt."

Why useful?

Many people have education loans, personal loans, vehicle loans, or credit-card debt. This module helps them understand their repayment burden.

8. Emergency Fund Planner

This module helps users determine **how much money they should keep aside for unexpected situations.**

Examples of emergencies:

- Medical expenses
- Job loss
- Sudden repairs
- Family emergencies
- Unexpected bills

The bot looks at the user's **essential monthly expenses** and calculates a target emergency fund.

Example:

User's essential monthly expenses:

- Rent: ₹8,000
- Food: ₹5,000
- Transport: ₹2,000
- Bills: ₹2,000

Total essential expenses = **₹17,000/month**

If the bot recommends a 6-month emergency fund:

$$\text{₹17,000} \times 6 = \text{₹1,02,000}$$

So it tells the user:

👉 Recommended emergency fund: approximately **₹1,02,000**

If the user currently has ₹40,000:

Current emergency savings: ₹40,000

Target: ₹1,02,000

Shortfall: ₹62,000